

regarding the fast-deteriorating global macros. “However, the New Year will reward disciplined investors, who can take the market volatility in their stride,” he says.

Given the pace and sustained rate hikes by the US Federal Reserve and the way it has been impacting the growth of the US economy, most global economists believe that the likelihood of America slipping into a recession is very high.

MEANWHILE, INDIA’S outperformance vis-à-vis the world is expected to continue into 2023, says Devina Mehra, Founder, Chairperson and MD of First Global, an AMC. “The risk is in sitting out rather than staying in. But unlike 2021, this is not a market where everything will go up, so being selective about sectors and companies but remaining invested is a smart move,” she says.

But where is the Nifty headed in

2023? Brokerage houses and analysts offer a wide range of 19,000-21,000. “It is always difficult to predict short-term movements, but we will definitely see 20,000 coming on the Nifty in 2023,” says Shah. He adds that for the Nifty to touch this mark, it will need a number of things to fall into place: the end of the Russia-Ukraine conflict; clear signals from the US Fed that it is looking to cut interest rates; and inflation settling down.

Another factor will be the direction of foreign flows. After betting big on India in the last two years, foreign institutional investors (FIIs) turned their back on the country this year. FIIs have been net buyers only in July and August. Equities witnessed record outflows, with the total sell-off on a YTD basis being more than ₹1.35 lakh crore. Even as FIIs booked profits, domestic institutional investors (DIIs) have ploughed in ₹2.55 lakh crore so far in 2022.

FIIs, however, seem to have felt

the fear of missing out (FOMO) on witnessing India’s resilience. In November, they turned net buyers again and have accumulated Indian equities worth over \$3 billion (over ₹30,000 crore) in the first 13 trading sessions of the month, despite interest rate hikes and the hawkish stance of the US Fed. And that too at a time when the Indian market is trading at a valuation premium to its emerging market peers.

Saurabh Mukherjea, Founder and Chief Investment Officer of Marcellus Investment Managers, believes that a great deal of foreign money will flow into the Indian markets over the next three years. He explains that foreign inflows into the Chinese stock markets are down to zero, and its economy is in trouble. The Indian economy, on the other hand, is in pretty decent shape. “Western investors have \$3.5 trillion invested in China... of that, even if half a trillion dollars comes to India, that will virtually double the FII investments in our country. I’m hopeful that this is going to happen over the next three years,” says Mukherjea, adding that the banking sector has usually found favour with FIIs.

In terms of sectoral performance, the BSE Information Technology index has emerged as the worst performing sectoral index, slipping over 21 per cent YTD. On the other hand, BSE Power has emerged as the best-performing one with nearly 35 per cent returns.

For 2023, there seems to be a consensus among analysts that banking and financials will take the lead. “Within banks, we think the PSU banks would outperform. We are overweight on capital goods and industrial machinery,” says Mehra. Shah too, is positive on banking, industrials and capital goods.

Coming to public offers, last year’s euphoria is missing in 2022 as the secondary market remains

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TOPSY-TURVY

THE BENCHMARK BSE SENSEX GAINED 5.9 PER CENT TILL NOVEMBER 18 THIS YEAR

